

MATH 2790 Fall 2025

Homework 2

Due date: Wednesday, Sep 3

Instructions:

- (a) It is expected to show detailed work for every problem. You are allowed to have a discussion with peers on some challenging questions. But then you should work on your own to finish the assignment.
- (b) All questions in this assignment are from sections 1.7 and 1.9.

Problems:

- 1. Question (2) on page 74 of textbook under section 1.7.
- 2. Question (4) on page 75 of textbook under section 1.7.
- 3. Question (7) on page 75 of textbook under section 1.7.
- 4. Question (8) on page 75 of textbook under section 1.7.
- 5. Question (2) on page 76 of textbook under section 1.9.
- 6. What is the present value of \$8,500 due in ten years assuming money grows following an annual effective rate of interest of 5.5% in the first three years, 7% for the next two years, and an annual effective rate of discount of 3.9% for the final five years?